



Inflation Climbs to a Three-Year High, Driven Mostly by Energy

Student copy (project or hand out)

The following lays out what the May 2026 Consumer Price Index report shows about the pace of inflation, and where most of the month's increase came from.

1 Consumer prices are climbing faster again. The Bureau of Labor Statistics reported on June 10 that the Consumer Price Index, the government's main measure of what households pay for goods and services, rose 0.5 percent in May, putting prices 4.2 percent above where they stood a year earlier. That is the fastest twelve-month pace since April 2023, and a step up from April's annual rate of 3.8 percent. The bureau adjusts its monthly figures for ordinary seasonal swings, so the May increase is not a quirk of the calendar.

2 Energy did most of the lifting. The energy index rose 3.9 percent in May alone and stands 23.5 percent higher than it did a year ago; energy supplied more than 60 percent of the month's overall increase. Gasoline is the extreme case inside that category, up 40.5 percent from a year earlier. A tank of gas that cost 50 dollars last May costs about 70 now.

3 The rest of the report tells a quieter story. The core measure, which sets aside food and energy because both swing widely from month to month, rose 0.2 percent in May and 2.9 percent over the past year. Economists watch that steadier number because it shows what prices are doing once the loudest movers are taken out. Food rose 0.2 percent for the month and 3.1 percent over the year. Shelter, the housing portion of the index, went up 0.3 percent, half its 0.6 percent gain in April. Set food and energy aside and inflation runs just under 3 percent a year; count them back in and it runs above 4.

4 There is a fair way to read May as a narrower problem than its headline number: the core rate is under 3 percent, and shelter slowed rather than sped up. The qualification is that nobody pays the core rate. A family's gasoline and grocery bills sit inside the all-items number and outside the core one, and the all-items number is the one that moved from 3.8 percent to 4.2 between one report and the next. Whether energy keeps pushing it upward is a question the May report raises and does not answer.

AP-style multiple choice:

1. The relationship between the second and third paragraphs is best described as one in which the writer first ____ and then ____.

- A) proves that energy alone will set the course of future inflation, and then dismisses the remaining categories entirely
- B) isolates the largest source of the month's increase, and then turns to the categories where prices stayed calmer
- C) concedes that prices barely moved in May, and then argues that the report overstates the problem
- D) explains how the bureau adjusts its monthly figures, and then questions whether that adjustment can be trusted

2. In the third paragraph, the writer's use of balanced clauses in the sentence beginning "Set food and energy aside" serves primarily to ____

- A) instruct readers to recalculate their own cost of living without food and energy
- B) soften the report's findings by presenting them as a matter of perspective
- C) imply that the government designed two indexes to satisfy different audiences
- D) sharpen the contrast between two readings of the same month's prices

Discussion questions:

1. The writer spends a full paragraph on the calmer core, food, and shelter numbers before setting them aside with "nobody pays the core rate." What does giving the quieter reading that much space do for the writer's credibility, and what would the piece lose if that paragraph were cut?

2. The piece closes on "a question the May report raises and does not answer." Why might a writer in this evidence-forward voice refuse to end on a verdict, and how would the tone change if the piece ended on the gasoline figure instead?

Writing prompt (AP Q3-style argument):

In the final paragraph, the writer observes that "nobody pays the core rate": the measure economists watch most closely is one no household ever experiences directly. Write an essay that argues your position on whether simplified measures of a complicated reality, in economics or elsewhere, clarify more than they conceal. Use appropriate, specific evidence to illustrate and develop your position.